25901168 **A**

Reg.No : .....

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION March 2026

Fourth SEMESTER

Discipline Specific Core Course (DSC) - MG4DSCCOM202 - LOGISTICS AND SUPPLY CHAIN MANAGEMENT

(2024 ADMISSION ONWARDS)

Duration: 1 hour 15 minutes **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

MCQ Questions

Answer any **20** questions

Each question carries **1** marks

1. Failure in which logistics function is most likely to result in wrong or delayed deliveries despite sufficient stock? [U] / [CO1]

   a). Inventory control b). Order processing

   c). Packaging d). Transportation

2. The number of warehouses in a network primarily affects: [U] / [CO2]

   a). Marketing Strategy b). Product Price labelling

   c). Product Warranty d). Delivery Lead Time

3. Another name for Periodic Review system is: [U] / [CO3]

   a). Continuous review system b). Fixed order quantity system

c). Fixed period system d). EOQ system

4. Logistics Resource Management focuses on: [U] / [CO4]

a). Marketing only b). Efficient use of resources

c). Sales growth d). Branding

5. During a supply disruption, a firm reroutes goods through alternative transportation links without stopping deliveries. This demonstrates which strength of a logistics network? [U] / [CO1]

a). Speed b). Standardisation

c). Cost leadership d). Flexibility

6. Which principle of logistics management focuses on delivering the right product at the right place and at the right time? [U] / [CO1]

a). Principle of economy b). Principle of customer service

c). Principle of flexibility d). Principle of control

7. Which principle emphasizes minimizing unnecessary movement? [U] / [CO2]

a). Unit load principle b). System principle

c). Motion economy principle d). Standardization principle

8. Modified control is adopted mainly to: [U] / [CO3]

a). Increase inventory cost b). Improve efficiency of inventory control

c). Reduce production d). Increase wastage

9. WMS helps in: [U] / [CO4]

a). Banking b). Advertising

c). Production d). Inventory tracking

10. Under JIT, the ideal lot size is: [An] / [CO3]

a). EOQ b). 1 unit

c). A truckload d). 1000 units

11. Competitive advantage through logistics is mainly achieved by [U] / [CO1]

a). Increasing advertising budget
b). Expanding product variety
c). Reducing total cost and improving service
d). Increasing retail outlets

12. A warehouse owned and operated by a company for its own use is called: [U] / [CO2]

a). Public Warehouse
b). Bonded Warehouse
c). Private Warehouse
d). Distribution Centre

13. "What-if" analysis in MRP allows managers to: [U] / [CO3]

a). Predict the weather
b). Simulate changes in the production schedule and see the impact on materials
c). Find out which employee is the hardest worker
d). Calculate the CEO's bonus

14. Online shipment tracking increases: [An] / [CO4]

a). Uncertainty
b). Customer confidence
c). Inventory loss
d). Manual errors

15. Which channel provides maximum market coverage? [U] / [CO4]

a). Exclusive distribution
b). Selective distribution
c). Intensive distribution
d). Direct distribution

16. The manufacturer purchases inputs mainly from: [U] / [CO1]

a). Retailer
b). Supplier
c). Customer
d). Distributor

17. Identify the major operational difference between a Seaway Bill and a Bill of Lading. [U] / [CO2]

a). A Seaway Bill is a negotiable document
b). A Seaway Bill acts as a document of title
c). A Seaway Bill allows delivery without surrender of the original
d). A Seaway Bill is issued only after goods reach destination

document

18. The P system of inventory control is also known as: [U] / [CO3]

a). Continuous review system b). Perpetual inventory system

c). Periodic review system d). Selective control system

19. Refurbishment reduces: [U] / [CO4]

a). Resource waste b). Customer base

c). Profit always d). Demand

20. The importance of Supply Chain Management lies mainly in: [U] / [CO1]

a). Increasing wastage b). Ensuring smooth flow of goods

c). Increasing paperwork d). Reducing competition

21. Which of the following is NOT a function of logistics? [U] / [CO1]

a). Cargo insurance b). Labelling

c). Demand forecasting d). Product advertising

22. Which of the following best defines logistics management? [U] / [CO2]

a). Managing production schedules b). Planning, implementing, and controlling efficient flow of goods and information

c). Supervising factory workers d). Designing marketing strategies

[1x20 = 20]

Part B

MCQ Questions

Answer any **25** questions

Each question carries **2** marks

23. Consider the following statements and choose the most appropriate alternative. [U] / [CO3]
Statement I: ABC analysis is a static classification that never changes.
Statement II: If the unit price of an item triples, its ABC classification might change from C to B or A.

a). Both statements are true. b). Statement I is true, and Statement II is false

c). Statement I is false, and Statement II is true

d). Both statements are false.

24. Consider the following statements: Assertion(A) and Reason (R). Choose the correct alternatives. [U] / [CO4]
Assertion (A): Outsourcing logistics helps firms focus on core business activities.
Reason (R): Non-core activities like transportation and warehousing are handled by specialists.

a). a) Both A and R are true and R is the correct explanation of A

b). b) Both A and R are true but R is not the correct explanation of A

c). c) A is true but R is false

d). d) A is false but R is true

25. Which of the following best explains the strategic importance of logistics in modern business? [U] / [CO1]

a). Decline in production costs

b). Increased role of intermediaries

c). Competitive advantage through cost and service efficiency

d). Expansion of advertising activities

26. Consider the following statements: Assertion(A) and Reasoning (R). Choose the correct alternatives. [U] / [CO1]
Assertion (A): Supply Chain includes suppliers, manufacturers, distributors and customers.
Reason (R): A supply chain is a network of organizations involved in producing and delivering products.

a). a) Both A and R are true and R is the correct explanation of A

b). b) Both A and R are true but R is not the correct explanation of A

c). c) A is true but R is false

d). d) A is false but R is true

27. Choose the most appropriate answer considering the following statements: [An] / [CO2]
Statement I - Perishables need faster and often temperature-controlled transport.
Statement II - Reliability means delivering shipments consistently within promised time.

a). Both statements are TRUE

b). Both Statements are FALSE

c). Statement I is TRUE and Statement II is FALSE

d). Statement I is FALSE and Statement II is TRUE

28. Consider the following statements and choose the most appropriate alternative. [U] / [CO3]
Statement I: Inventory planning is a short-term activity.

Statement II: Inventory control focuses on operational efficiency.

a). Both statements are true.

b). Statement I is true, and Statement II is false

c). Statement I is false, and Statement II is true

d). Both statements are false.

29. Consider the following statements: Assertion(A) and Reason (R). Choose the correct alternatives. [U] / [CO4]
Assertion (A): Distribution channels help in market information collection.
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30. Consider the following statements and state which of the statements are true. [U] / [CO3]
Statements: (1) Ordering cost increases with order frequency
(2) Carrying cost includes storage and insurance
(3) Stock-out cost arises due to excess inventory (4) Inventory cost influences EOQ

a). (1), (2) and (4) only

b). (2) and (3) only

c). (1) and (3) only

d). All statements are true

31. Consider the following statements Assertion(A) and Reasoning (R). Choose the correct alternatives . Assertion (A): Risk management is an important SCM best practice. Reason (R):It prepares firms to handle supply disruptions. [U] / [CO1]

a). a) Both A and R are true and R is the correct explanation of A

b). b) Both A and R are true but R is not the correct explanation of A

c). c) A is true but R is false

d). d) A is false but R is true

32. Consider the following statements and identify the TRUE statements. [U] / [CO2]
Statement (1): MBL represents the actual contract of carriage.
Statement (2): HBL has stronger legal authority than MBL.

a). (1) only

b). (2) only

c). Both (1) and (2)

d). Neither (1) nor (2)

33. Match the following [U] / [CO3]

Column I	Column II
1. MPS	A. Production plan
2. BOM	B. Product structure
3. Inventory file	C. Stock status
4. Lead time	D. Order delay

a).1-B, 2-A, 3-D, 4-C b).1-A, 2-B, 3-C, 4-D

c).1-C, 2-D, 3-A, 4-B d).1-D, 2-C, 3-B, 4-A

34. Consider the following statements: Assertion (A), Reason (R). Choose the correct alternative. [U] / [CO4]
Assertion (A): AI-based forecasting reduces demand variability impact.
Reason (R): Machine learning algorithms analyze historical data patterns.

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c). A is true but R is false

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Reason (R):3PL manages multiple logistics functions for the client.

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b). b) Both A and R are true but R is not the correct explanation of A

c). c) A is true but R is false

d). d) A is false but R is true

36. State which of the statements is/are true regarding packaging as a logistics component: [U] / [CO1]
(1) Packaging facilitates handling and storage (2) Packaging helps in protection during transportation
(3) Packaging has no role in logistics efficiency (4) Packaging can influence cube utilisation

a). (1), (2) and (4) only

b). (1), (3) and (4) only

c). (2) and (3) only

d). (1), (2), (3) and (4)

37. Compared to conventional warehousing, AS/RS primarily increases: [An] / [CO2]

a). Manual errors

b). Vertical space utilization

c). Labour intensity d). Order processing time

38. Consider the following statements and choose the most appropriate alternative. [U] / [CO3]
Statement I: In a "Lost Sales" situation, the company loses the profit from that specific sale.
Statement II: In a "Backlog" situation, the company retains the sale but incurs extra handling costs.

a). Both statements are true. b). Statement I is true, and Statement II is false

c). Statement I is false, and Statement II is true d). Both statements are false.

39. High service quality mainly contributes to: [U] / [CO4]

a). Customer switching b). Brand goodwill

c). Inventory shortage d). Demand distortion

40. Consider the following statements and state which of the statements are true. [U] / [CO3]
Statements: (1) Inventory includes raw materials, WIP and finished goods
(2) Inventory management aims at balancing cost and service
(3) High inventory always increases profitability
(4) Poor inventory control leads to wastage

a). (1), (2) and (4) only b). (1) and (3) only

c). (2) and (3) only d). (1), (2), (3) and (4)

41. Consider the following statements: Assertion(A) and Reasoning (R). Choose the correct alternatives. [U] / [CO1]
Assertion (A): SCM is required only for large companies.
Reason (R): Small firms also depend on suppliers and distributors.

a). a) Both A and R are true and R is the correct explanation of A b). b) Both A and R are true but R is not the correct explanation of A

c). c) A is true but R is false d). d) A is false but R is true

42. Choose the most appropriate answer considering the following statements: [An] / [CO2]
Statement I - Insurance is part of holding or carrying cost of inventory.
Statement II - Carrying cost increases proportionally with higher inventory levels.

a). Both statements are TRUE b). Both Statements are FALSE

c). Statement I is TRUE and Statement II is FALSE

d). Statement I is FALSE and Statement II is TRUE

43. Consider the following statements and state which of the statements are true. [U] / [CO3]
(1) GOLF classifies by procurement difficulty (2) Ordinary items are easy to source
(3) Foreign items have a short lead time (4) GOLF supports the sourcing strategy

a). (1) and (2) only

b). (2) and (3) only

c). (1), (2) and (4) only

d). (1), (2), (3) and (4)

44. Consider the following statements: Assertion(A) and Reason (R). Choose the correct alternatives. [An] / [CO4]
Assertion (A): 3PL helps firms reduce logistics costs.
Reason (R):3PL uses specialised systems and economies of scale

a). a) Both A and R are true and R is the correct explanation of A

b). b) Both A and R are true but R is not the correct explanation of A

c). c) A is true but R is false

d). d) A is false but R is true

45. Consider the following statements: Assertion (A), Reason (R). Choose the correct alternative. [U] / [CO4]
Assertion (A): Reducing variability in the order cycle improves service reliability.
Reason (R): Consistent delivery schedules enhance customer trust.

a). Both A and R are true and R is the correct explanation of A

b). Both A and R are true but R is not the correct explanation of A

c). A is true but R is false

d). A is false but R is true

46. An e-commerce company promises next-day delivery nationwide. To achieve this, it increases regional warehouses, uses real-time inventory visibility, and coordinates transport schedules with order processing. Although transport cost rises, overall customer complaints fall sharply. Which outcome best justifies this integrated logistics decision? [U] / [CO1]

a). Reduction in transportation cost

b). Elimination of inventory holding

c). Improvement in total system performance and service level

d). Increased autonomy of logistics functions

47. A full container arrives at the port and is directly delivered to the importer without unpacking. Which facility is primarily involved? [U] / [CO2]

a). Container Freight Station b). Container Yard

c). Inland warehouse d). Freight terminal

48. Consider the following statements and choose the most appropriate alternative. [U] / [CO3]
Statement I: Shortage cost occurs due to excess inventory.
Statement II: Shortage cost arises when demand cannot be met.

a). Both statements are true. b). Statement I is true, and Statement II is false

c). Statement I is false, and Statement II is true d). Both statements are false.

49. Consider the following statements: Assertion (A), Reason (R). Choose the correct alternative. [U] / [CO4]
Assertion (A): An effective reverse supply chain improves sustainability performance.
Reason (R): It reduces resource extraction through reuse and recycling.

a). Both A and R are true and R is the correct explanation of A b). Both A and R are true but R is not the correct explanation of A

c). A is true but R is false d). A is false but R is true

[2x25 = 50]

25901168 **B**

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Part A

MCQ Questions

Answer any **20** questions

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1. During a supply disruption, a firm reroutes goods through alternative transportation links without stopping deliveries. This demonstrates which strength of a logistics network? [U] / [CO1]

   a). Speed b). Standardisation

   c). Cost leadership d). Flexibility

2. The manufacturer purchases inputs mainly from: [U] / [CO1]

   a). Retailer b). Supplier

   c). Customer d). Distributor

3. The number of warehouses in a network primarily affects: [U] / [CO2]

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c). Product Warranty d). Delivery Lead Time

4. Failure in which logistics function is most likely to result in wrong or delayed deliveries despite sufficient stock? [U] / [CO1]

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8. The importance of Supply Chain Management lies mainly in: [U] / [CO1]

a). Increasing wastage b). Ensuring smooth flow of goods

c). Increasing paperwork d). Reducing competition

9. Which of the following is NOT a function of logistics? [U] / [CO1]

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10. Which channel provides maximum market coverage? [U] / [CO4]

a). Exclusive distribution b). Selective distribution

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11. Which of the following best defines logistics management? [U] / [CO2]

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[1x20 = 20]

Part B

MCQ Questions

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Statement II: Inventory control focuses on operational efficiency.

a). Both statements are true.
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b).1-A, 2-B, 3-C, 4-D
c).1-C, 2-D, 3-A, 4-B
d).1-D, 2-C, 3-B, 4-A

46. Choose the most appropriate answer considering the following statements: [An] / [CO2]
Statement I - Perishables need faster and often temperature-controlled transport.
Statement II - Reliability means delivering shipments consistently within promised time.

a). Both statements are TRUE
b). Both Statements are FALSE
c). Statement I is TRUE and Statement II is FALSE
d). Statement I is FALSE and Statement II is TRUE

47. Consider the following statements: Assertion (A), Reason (R). Choose the correct alternative. [U] / [CO4]

Assertion (A): Reducing variability in the order cycle improves service reliability.
Reason (R): Consistent delivery schedules enhance customer trust.

a). Both A and R are true and R is the correct explanation of A

b). Both A and R are true but R is not the correct explanation of A

c). A is true but R is false

d). A is false but R is true

48. Consider the following statements: Assertion(A) and Reason (R). Choose the correct alternatives. [An] / [CO4]
Assertion (A): 3PL helps firms reduce logistics costs.
Reason (R):3PL uses specialised systems and economies of scale

a). a) Both A and R are true and R is the correct explanation of A

b). b) Both A and R are true but R is not the correct explanation of A

c). c) A is true but R is false

d). d) A is false but R is true

49. An e-commerce company promises next-day delivery nationwide. To achieve this, it increases regional warehouses, uses real-time inventory visibility, and coordinates transport schedules with order processing. Although transport cost rises, overall customer complaints fall sharply. Which outcome best justifies this integrated logistics decision? [U] / [CO1]

a). Reduction in transportation cost

b). Elimination of inventory holding

c). Improvement in total system performance and service level

d). Increased autonomy of logistics functions

[2x25 = 50]